ABC News, 26 Oct 2026
News summary · 27 October 2026

Vegetable supplier admits price-fixing at Aldi; $12m penalty proposed

> Perfection Fresh, Australia's second-largest vegetable company, has admitted to cartel conduct on vegetables supplied to Aldi. The ACCC and the company have jointly proposed a $12m penalty, which the Federal Court must still approve.

WHAT HAPPENED

- Perfection Fresh admitted to **11 instances of cartel conduct (price-fixing) in 2019–20**.
- The products were **broccoli, cauliflower and iceberg lettuce** supplied to Aldi stores in NSW.
- The ACCC and the company have jointly proposed a **$12m penalty**, which the Federal Court still has to approve. Only 10 instances can be penalised because one falls outside the time limit.
- The wider ACCC case covers produce sold to Aldi in **NSW, Victoria and Queensland from 2018 to 2024**. **Four other growers** are still defending it.
- The ACCC says cartels **undermine competition and push up prices**, and that fresh food is an enforcement priority.

Cartel: competing firms that secretly agree to fix prices, share markets or rig bids

Competition policy: laws and agencies (the ACCC) that keep markets competitive and protect consumers

KEY NUMBERS

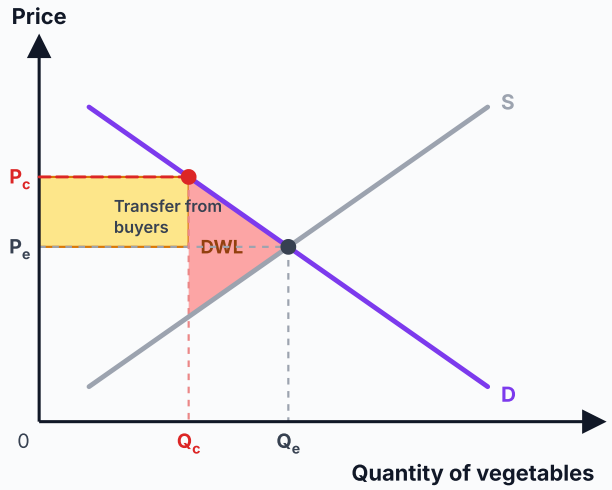
$12m
proposed penalty

11
admitted instances

2018–24
period covered by the wider case

4
growers still defending the case

DIAGRAM — Why price-fixing harms consumers



In a competitive market, price and output settle at P_e and Q_e. A cartel agrees to charge a higher price, P_c, so buyers purchase less (Q_c).

The yellow area is income **transferred from buyers to the cartel**. The red triangle is **deadweight loss**: sales that would have benefited both sides no longer happen, so resources are misallocated.

Exam angle: competition policy is a **microeconomic reform**. Stronger competition lowers prices, lifts efficiency and supports lower inflation over time, especially for essentials like food that take up a bigger share of low-income budgets.

SYLLABUS LINK

Topic 4 – microeconomic policy: competition policy, the ACCC and the Competition and Consumer Act 2010; allocative efficiency.

TRY THIS

1. Using a diagram, explain how cartel conduct leads to higher prices and allocative inefficiency. **(4 marks)**
2. Assess how effective penalties like this are in deterring anti-competitive behaviour. **(5 marks)**

Sources:
1. ABC News – Australia's second largest veggie company admits 'cartel conduct' – https://www.abc.net.au/news/2026-10-26/perfection-fresh-admits-to-aldi-vegetable-price-fixing/107308678

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.